



ASSOCIATED APPRAISERS

REAL ESTATE
VALUATION & CONSULTATION

(337) 981-0710 • 119 RIDGEWAY DRIVE, SUITE B-2 • LAFAYETTE, LOUISIANA 70503

**COMPLETE APPRAISAL
SELF-CONTAINED REPORT**

**Neighborhood Retail Center
123 Arnould Boulevard
Lafayette, Louisiana**



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**COMPLETE APPRAISAL
SELF-CONTAINED REPORT**

**Neighborhood Retail Center
123 Arnould Boulevard
Lafayette, Louisiana**

Owner: Belle Realty of Lafayette, LLC

Requested By

**Mr. J. Craig Cecil
Second Vice-President
Protective Life Ins. Co.
2801 Highway 280 South
Birmingham, AL 35223**

Valuation Date: May 1, 2007

Date of Report: May 9, 2007

Prepared By

**Lawayne A. Sieferman, MAI, CCIM
Steven C. Larson**

**Associated Appraisers, Ltd.
119 Ridgeway Drive, Suite B-2
Lafayette, Louisiana 70503**



ASSOCIATED APPRAISERS
REAL PROPERTY EVALUATIONS & CONSULTATIONS

May 9, 2007

Mr. J. Craig Cecil
Second Vice-President
Protective Life Ins. Co.
2801 Highway 280 South
Birmingham, AL 35223

Re:

Complete Appraisal Self-Contained Report on a Neighborhood Retail Center
Located at 123 Arnould Boulevard
Lafayette, Louisiana

Dear Mr. Cecil:

As per your request, we have made the investigations and analyses necessary to form an opinion of the Market Value of the above referenced property. The effective date of the appraisal is May 1, 2007, which was the date the subject property was inspected by the appraisers.

It is understood that the intended use of this appraisal is to estimate present value in consideration of a loan. It is also understood that the intended user of this appraisal is Bendel Mortgage Company.

The description, analysis and valuation of the property are set out in detail in the following summary appraisal report, including all supportive market data. Attention is directed to the Table of Contents and Scope of The Appraisal sections of the report immediately following this letter for a summary of the report and addenda contents, and the number of pages covered in each.

Based on the analyses as set out later herein, our conclusion of the Market Value of the Fee Simple Estate of the subject as defined herein "as is", less minerals if any, as of May 1, 2007, was:

FOUR MILLION FIVE HUNDRED THOUSAND DOLLARS

\$4,500,000

Mr. Cecil:

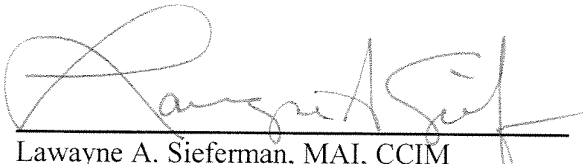
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To the best of our knowledge and belief the appraisal complies with the **Uniform Standards of Professional Appraisal Practice, FIRREA Title XI, 12 CFR Part 343**, and the requirements of the State of Louisiana for certified real estate appraisers. In regards to the competency requirement of the regulations, it is noted that the education, experience and knowledge of the appraisers is sufficient to appraise this type of property, and that the appraisers have completed appraisals of this type of property before.

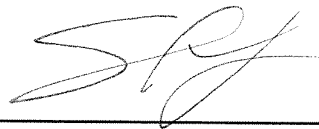
We certify that we have no present or contemplated interest in the real estate concerned, and that the fee for this service is in no way contingent upon the reported valuation, a requested minimum valuation, or the approval of a loan.

We thank you for the opportunity to be of service. If we can provide any further assistance in this matter, please do not hesitate to call.

Respectfully submitted,



Lawayne A. Sieferman, MAI, CCIM
Louisiana Certified General Real Estate Appraiser
Certification Number: G0052



Steven C. Larson
Louisiana Certified Real Estate Appraiser Trainee
Certification Number: T1965

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LETTER OF AUTHORIZATION 2 pages
ANNUAL EXPENSE STATEMENT 1 page
PROPERTY RENT ROLL 1 page
PROFESSIONAL QUALIFICATIONS, COPIES OF CERTIFICATIONS 4 pages

INTRODUCTION

SCOPE OF THE APPRAISAL

Associated Appraisers, Ltd., was contracted to provide a Market Value appraisal of a neighborhood retail center and site. It is representative of a value as of the effective date of the appraisal. In the case herein, the effective date of appraisal is May 1, 2007, which was the date the subject property was inspected by the appraisers.

The valuation process for a property such as the subject is accomplished through specific steps, all of which depend upon the nature of the appraisal assignment and the data available. In general, the appraisal problem is first identified, followed by research and analysis of data relevant to the problem, and finally by the application and reconciliation of valuation techniques. The specific items covered in the valuation process for the subject are discussed in detail in the following report. The overall process followed is summarized below.

The first step, the Definition of the Appraisal Problem, includes identification of the real estate, property rights to be valued, date of value estimate, use of appraisal and definition of value. The appraisal was intended to comply with state and national regulations and standards including FIRREA, USPAP and the State of Louisiana regulations, as well as guidelines of the requestor. These items are discussed further in the Compliance section of the report. Also included as part of the appraisal problem were certain assumptions and limiting conditions, which form the basis of the appraisal.

The next step in the process was the Preliminary Analysis and Data Selection and Collection. This includes research and analysis of the local market as a whole, as well as activity in the immediate subject area. In the process, two types of data were collected. First, general data consisting of information on the principal forces and factors that affect property value in the overall area was compiled, and trends in the social, economic, governmental and environmental forces that affect property value were studied. Second, specific data relating to the property being appraised and to the comparable properties was collected and analyzed. This data included physical, locational, cost, income, and expense information as well as details on comparable sales activity, market feasibilities and absorption trends. The specific comparable items used in the valuation approaches were then verified through various sources.

In conjunction with the data collection and analysis, a Highest and Best Use Analysis was conducted on the subject, first as if vacant and then as improved. The purpose of the Highest and Best Use Analysis as if vacant was to help identify comparable properties by comparison of use potential, and to analyze the property's maximally productive use. The Highest and Best Use Analysis, as improved, was used to help identify improved comparable properties and to identify the contributory value of the improvements to the land.

Thereafter, the Application of the Valuation Approaches was conducted. In assignments to estimate market value, the goal of the valuation process is a well-supported value conclusion that reflects the appraisers study of all factors that influence the market value of the property being appraised. To achieve this goal, the subject was evaluated from three viewpoints, which in affect correspond to the three traditional approaches to value:

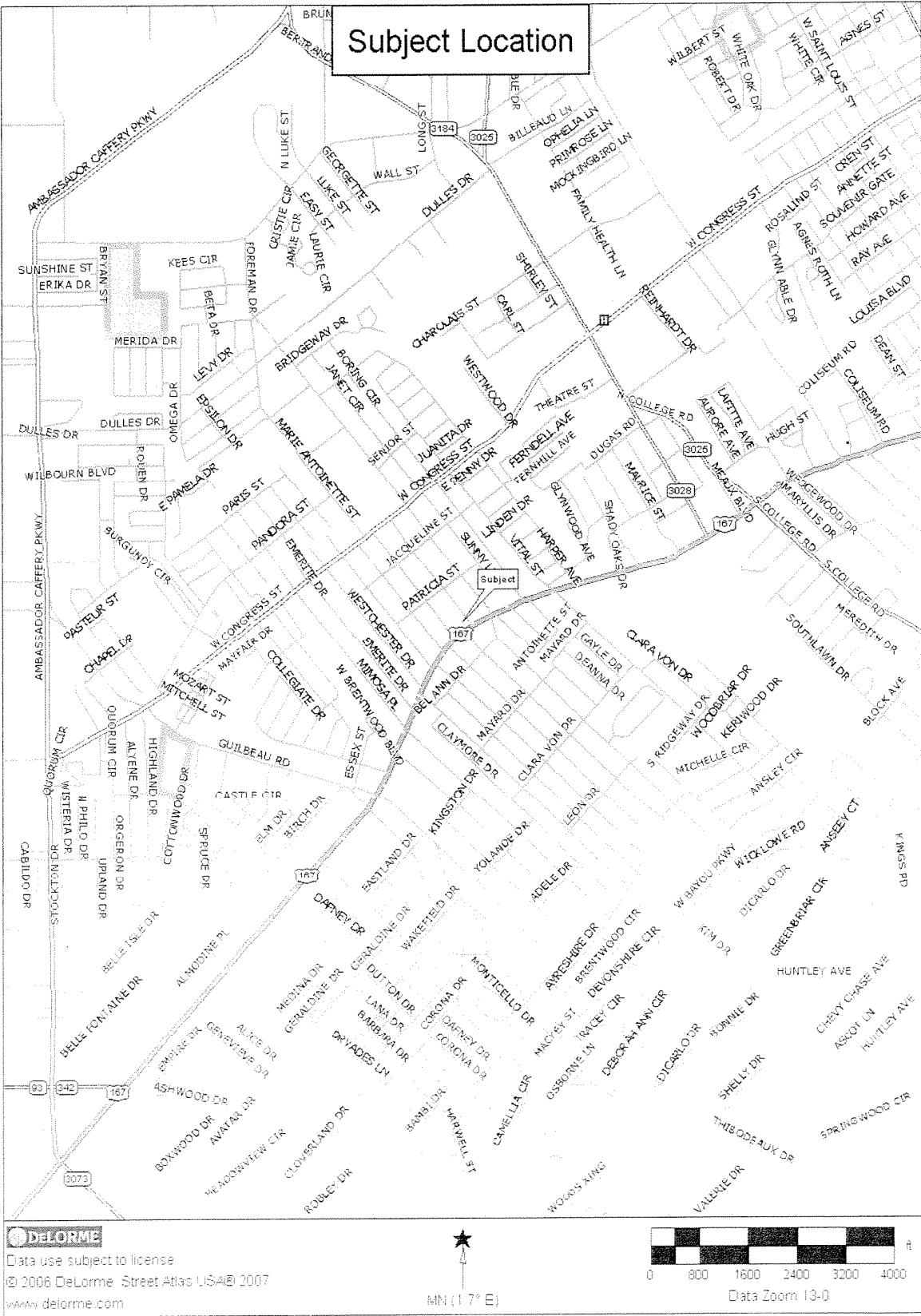
1. **Cost Approach** - the current cost of reproducing the improvements, less the loss in value from depreciation, plus land value.
2. **Sales Comparison Approach** - the value indicated by recent sales of comparable properties in the market.
3. **Income Approach** - the value of the property's earning power based on the capitalization of its income, or alternately, projections of future cash flows which are discounted to present value.

The final steps in the valuation process are the Reconciliation and Reporting of the final value conclusion. In the Reconciliation, the indications obtained from the valuation approaches were correlated into a final value conclusion by considering the nature of the appraisal problem, the type of property being appraised, and the relationship of each approach to that type of property, and the reliability and quantity of the data used in each approach. In addition, the marketing time for the subject was estimated. The reporting of the final value conclusion was conducted as the final step in the valuation process. In the subject case, this was in the form of a dollar amount that represents the appraisers' opinion of the value of the subject based on the parameters, assumptions and limiting conditions contained in the report.

The appraisal process discussed in the previous paragraphs is reported on the following pages in the form of a narrative report, which is set out under five major parts as follows:

- I. **INTRODUCTION** - Identifies the nature of the report and summarizes the analyses and conclusions in the form of a Title Page (attached previously), Letter of Transmittal (attached previously), Location Map, Introductory Photograph, Certification of Value and a Summary of Important Facts and Conclusions.
- II. **PREMISES OF THE APPRAISAL** - Sets out the premises on which the appraisal is based by means of the Assumptions and Limiting Conditions, Purpose, Use, Date of Appraisal, Property Rights Appraised, Compliance with applicable guidelines and regulations, and the Definition of Value.
- III. **PRESENTATION OF DATA** - Presents the description and analyses of the subject, local market and neighborhood in the form of a Property Identification, Lafayette Area Analysis, Neighborhood Analysis, and Property Analysis.
- IV. **ANALYSIS AND VALUATION** - Sets out the analysis and valuation of the subject by means of a Highest and Best Use Analysis, Cost Approach, Sales Comparison Approach, Income Capitalization Approach, Estimate of Marketing Time, and Reconciliation and Final Value Conclusion.
- V. **ADDENDA** - Contains supplemental data to the report including Subject Photographs, Maps and Qualifications of Appraisers

The scope of research, analysis and valuation conducted in the various parts of the report, as well as the methodology used, is discussed further at the beginning of each section of the report.

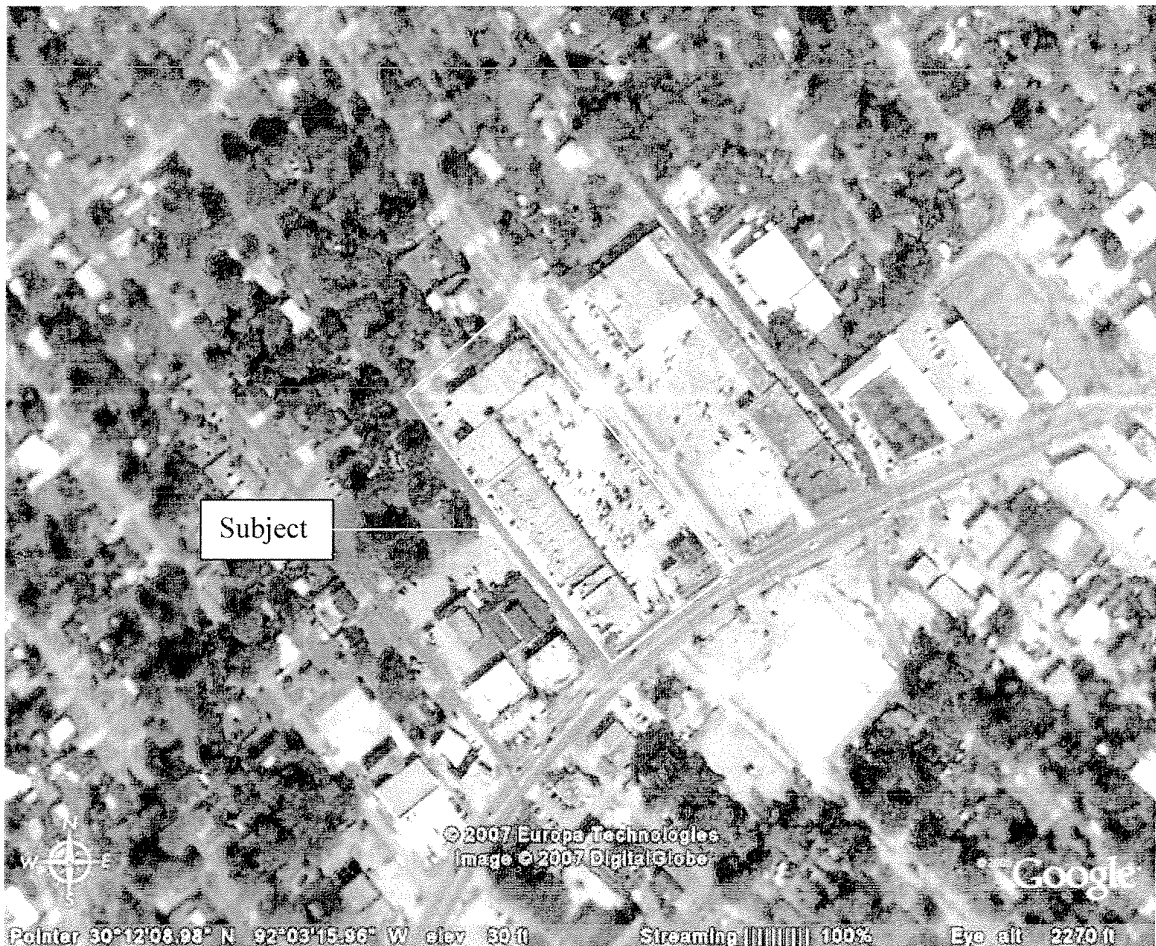


INTRODUCTORY PHOTOGRAPH



Typical Northwestward View of the Subject Property

AERIAL PHOTOGRAPH



Boundaries estimated by appraisers from plat for illustration purposes only

CERTIFICATION

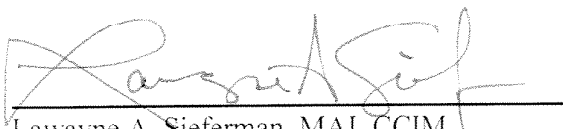
We certify that, to the best of our knowledge and belief, . . .

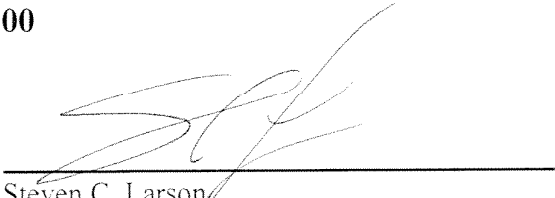
- 1. The statements of fact contained on this report are true and correct.
- 2. The report analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions, and are our personal, impartial and unbiased professional analyses, opinions, and conclusions.
- 3. We have no present or prospective interest in the property that is the subject of this report, and we have no personal interest with respect to the parties involved. We do not have a borrowing relationship with Protective Life Insurance Company.
- 4. We have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.
- 5. Our engagement in this assignment was not contingent upon developing or reporting predetermined results.
- 6. Our compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- 7. Our analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice and the requirements of the State of Louisiana for state certified real estate appraisers.
- 8. The reported analyses, opinions and conclusions were developed, and this report has been prepared, in conformity with the requirements of the Code of Professional Ethics and the Standards of Professional Practice of the Appraisal Institute.
- 9. The use of this report is subject to the requirements of the State of Louisiana relating to review by the real estate appraisal sub-committee of the Louisiana Real Estate Commission, and the Appraisal Institute relating to review by its duly authorized representatives.
- 10. We have both made a personal inspection of the property that is the subject of this report.
- 11. No one provided significant real property appraisal assistance to the persons signing this certification.
- 12. The appraisal assignment was not based on a requested minimum valuation, a specific valuation, or the approval of a loan.
- 13. Our education, experience and knowledge is sufficient to appraise the type of property being appraised, and that the appraisers have appraised this type of property before.
- 14. As of the date of this report, I, Lawayne A. Sieferman, have completed the continuing education program of the Appraisal Institute. I, Lawayne A. Sieferman, have performed only a supervisory role in the production of this report.
- 15. This appraisal report is for the intended users only. The subject matter of this report relating to opinions and conclusions of the appraisers shall not be disseminated to public or private parties, the media, or communicated to any persons without the prior written consent of the undersigned. However, this is not intended to conflict with any Special Instructions given to the appraisers by the client.

Based on our inspection of the property, the information contained in this report, our knowledge of real estate values, our estimate of the fee simple Market Value of the subject, as is, as of May 1, 2007, was:

FOUR MILLION FIVE HUNDRED THOUSAND DOLLARS

\$4,500,000


Lawayne A. Sieferman, MAI, CCIM
Louisiana Certified General Real Estate Appraiser
Certification Number: G0052


Steven C. Larson
Louisiana Certified Real Estate Appraiser Trainee
Certification Number: T1965

SUMMARY OF IMPORTANT FACTS AND CONCLUSIONS

Effective Date of Appraisal:	May 1, 2007
Property Type:	A neighborhood retail center and site
Location:	123 Arnould Boulevard, Lafayette, LA
Purpose of Appraisal:	Estimate Market Value of the unencumbered fee simple interest, as proposed, as defined later in this report
<u>Site Data:</u>	
Size:	±4.84 acres or ±210,907 square feet
Features:	Nearly rectangular shape, level, well drained, served by municipal utilities
Zoning:	BG (General Business)
Easements:	None Apparent.
Flood Zone:	Zone "X" (as per FIRM Panel #22055C0045G) effective dates January 19, 1996
Encroachments:	None Apparent.
Environmental:	None Apparent.
<u>Improvements Data:</u>	The existing subject improvements consist of neighborhood retail center containing ±62,752sf of average to good quality construction.
<u>Other Improvements:</u>	Common areas include parking areas, sidewalks, entrances and exits, and common green areas.

Highest and Best Use:

As if Vacant:	Commercial development
As Is:	Neighborhood retail center and site

Valuation:

Site Value:	\$2,000,000
Cost Approach:	\$ 4,200,000
Sales Comparison Approach:	\$4,400,000
Income Approach:	
Discounted Cash Flow	
Analysis:	\$4,500,000
Market Value Conclusion:	\$4,500,000
Estimated Marketing Time:	12-18 months

PREMISES OF THE APPRAISAL

ASSUMPTIONS AND LIMITING CONDITIONS

This Appraisal Report, the Letter of Transmittal and the Certificate of Value are hereby made expressly subject to the following Assumptions and Limiting Conditions; and also, any Special Limiting Conditions, which may be contained elsewhere in the Report, are hereby incorporated herein by reference.

ASSUMPTIONS

- 1. That the legal description, as furnished, is correct; and the title to the property is good and merchantable. All existing liens and encumbrances, if any, have been disregarded and the property is appraised as though free and clear, under responsible ownership and competent management.*
- 2. That the land dimensions, as taken from available maps, plats and/or surveys are correct. This appraisal is subject to whatever may be revealed by a current competent survey. It has been assumed that those visible and apparent monuments are correct, and that there are no encroachments.*
- 3. That the present zoning of the property was verified with local planning officials, but the appraiser cannot be responsible for any error reported by the city officials and/or city staff. Since the Zoning Ordinance is lengthy, the appraisers cannot be responsible for a complete description of the zoning regulations. Zoning Ordinance rules should be obtained by all interested parties of restrictions and limitations of use.*
- 4. That no adverse soil conditions exist, nor any latent defects in structural components of the improvements; and therefore, no representations regarding such are made herein in this report unless specifically stated; and, that the value estimated is subject to any conditions becoming manifest. The condition of heating, cooling, ventilation, electrical and plumbing equipment is considered to be commensurate with the condition of the balance of the improvements (unless otherwise stated).*
- 5. That certain opinions, estimates, data and statistics, furnished by others in the course of this investigation, are correct; all such having been obtained from sources thought to be reliable, but we assume no responsibility for their accuracy.*
- 6. This appraisal is to be used in whole and not in part. The distribution of total value between land and improvements applies only under the program of utilization outlined in this report. The separate valuations for land and improvements must not be used in conjunction with any other appraisal, nor taken out of context, and are invalid if so used.*

LIMITING CONDITIONS

7. *This analysis and estimate of value is made for the exclusive use and benefit of the person, persons, or firm to whom it is addressed; and, possession of this report or a copy thereof, does not carry with it the right of publication, nor may it be used for any purpose or function other than that herein outlined as such purpose, nor by any other than the client(s) for whom it is prepared, without the prior written consent of the appraisers and/or said client(s), and in any event only the entire appraisal report may be used, and no part shall be taken or used out of context with the whole. However, the appraisal report represents the opinion only of the appraisers, and no statement or figure therein set forth is to be considered otherwise.*
8. *No feasibility or land study has been made by, nor has such been furnished to the appraisers.*
9. *Maps, plats, sketches, photographs, and the like, are included in this report for the sole purpose of aiding the reader to visualize the property and accuracy is not warranted.*
10. *If this appraisal is made on proposed construction from plans and specifications, any deviation therefrom in the completed structure invalidates this report.*
11. *This report does not contemplate any court action, nor does it obligate the appraisers whose names are affixed hereto, to give any testimony or make any appearance in court, nor before any commission, arbitrator, or other individual, body or agency. If court action or appearance later becomes advisable and/or necessary in the interest of the client(s) to whom this report is addressed, the terms for such additional service shall be negotiated as a separate contract.*
12. *Disclosure of the contents of this report is governed by the By-Laws and Regulations of the Appraisal Institute. Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraisers or firm with which they are connected, or any reference to the Appraisal Institute or to the professional designations, shall be disseminated to the public through advertising media, public relations media, news media, sales media, or any other public means of communication without the prior written consent and approval of the authors.*
13. *No responsibility is assumed for hazardous wastes, asbestos, PCB transformers or underground storage tanks, which may be on the property. This exclusion includes transformers containing polychlorinated biphenyl (PCB) serving or stored on the property, that no underground storage tanks are located on the property (unless otherwise specified), that there is no asbestos on the property and that there has been no storage, disposal or release of any fuels, gases, pesticides, paints, solvents, lead, cyanide, DDT, acids, ammonium compounds and other chemicals, trash, garbage or other solid wastes or hazardous materials or wastes upon the property. If such is present, the value of the property may be adversely affected and re-appraisal at additional cost may be necessary to estimate the effects of such.*

OBJECTIVES OF THE APPRAISAL

PURPOSE OF THE APPRAISAL

The purpose of this appraisal was to estimate a Market Value of the subject as defined later herein as of the effective date of the appraisal. The value of the subject was estimated based on examination of the subject property and its existing improvements. All analyses were conducted on the basis of cash or its equivalent, and typical financing for properties of the subject type.

PROPERTY RIGHTS APPRAISED

The full ownership or fee simple interest of the property and its proposed improvements were appraised. Fee Simple Estate refers to absolute ownership unencumbered by any other interest or estate. In common law jurisdictions, this is typically referred to as the “**Fee Simple Estate**”. Fee Simple Estate is defined in The Dictionary of Real Estate Appraisal, published by the Appraisal Institute, as “absolute ownership unencumbered by any other interest or estate; subject only to the limitations of eminent domain, escheat, police power, and taxation.” Liens, leases, or other encumbrances, if any, have been disregarded. It is also noted that mineral values, if any, have been disregarded.

INTENDED USE OF THE APPRAISAL

It is understood that the function of this appraisal is to estimate value for consideration of a loan.

INTENDED USER OF THE APPRAISAL

It is understood that the intended user of this appraisal is Protective Life Insurance Company.

OWNERSHIP

Based on the Lafayette Parish Clerk of Court’s records, the subject property is owned by Belle Realty of Lafayette, LLC.

EFFECTIVE DATE OF APPRAISAL

The effective date of appraisal is May 1, 2007, which is the date the subject property was inspected by the appraisers.

COMPLIANCE

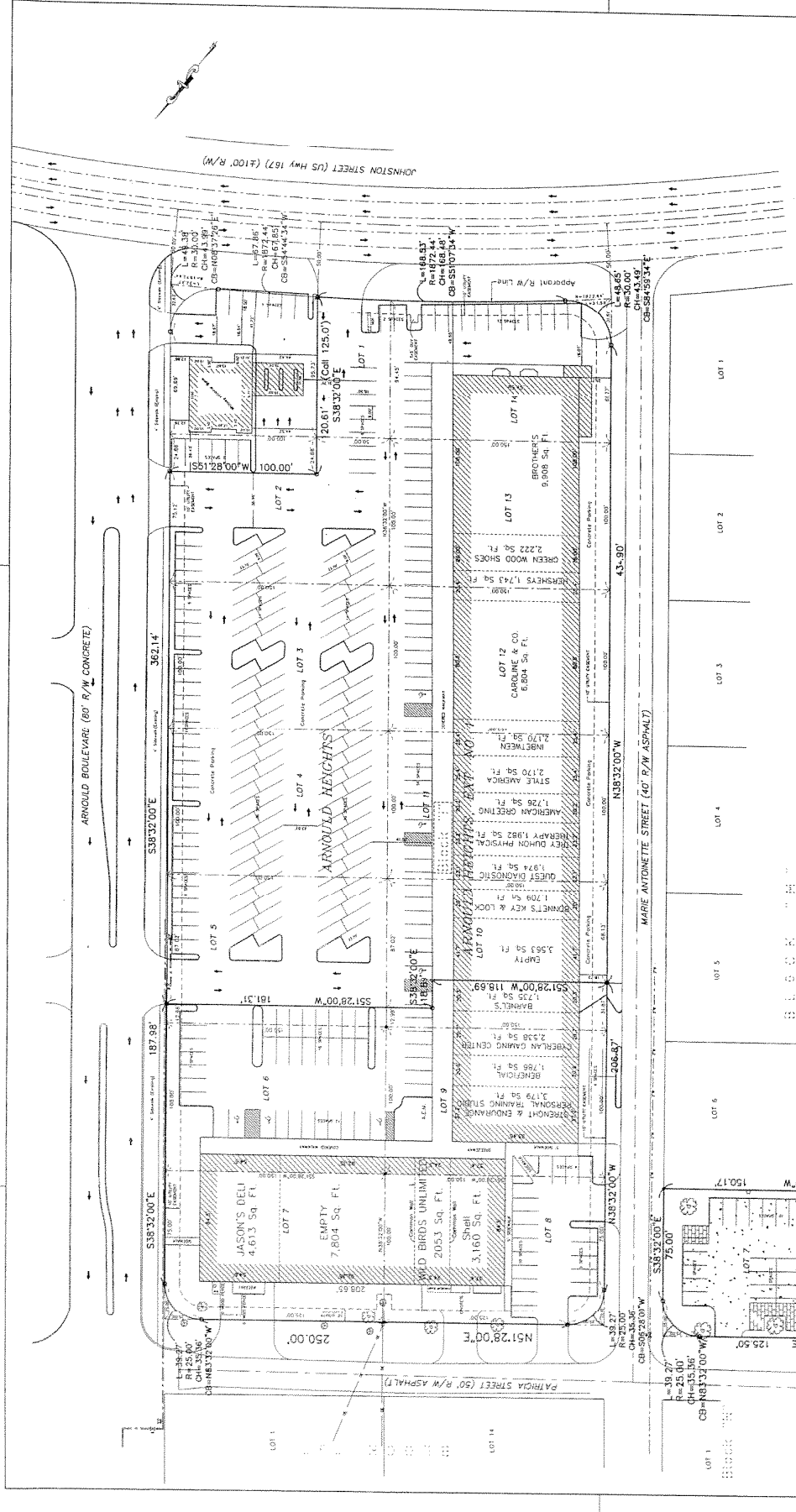
The appraisal is subject to the Assumptions and Limiting Conditions attached earlier in the report. To the best of our knowledge and belief, the appraisal complies with the Uniform Standards of Professional Appraisal Practice, and FIRREA Title XI. The appraisal was also intended to comply with the client’s written instructions. In regards to the competency requirement of the regulations, it is noted that the appraisers have completed appraisals of this type of property before.

MARKET VALUE DEFINITION

Market Value is defined in the Uniform Standards of Professional Appraisal Practice, published by the Appraisal Foundation, 2004, as follows:

“The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specific date and the passing of title from seller to buyer under conditions whereby:

- a. buyer and seller are typically motivated.**
- b. both parties are well informed or well advised, and acting in what they consider their best interest;**
- c. a reasonable time is allowed for exposure in the open market;**
- d. payment is made in terms of cash in United States dollars or in terms of financial arrangements comparable thereto; and**
- e. the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.”**



1. MAP OF SURVEY SHOWING PROPERTY AND IMPROVEMENTS BELONGING TO
BELLE REALTY OF LAFAYETTE, LLC
BEING LOTS 1-3, 1-14, PARTITION OF
LOT 1, 1-14, PARTITION OF LOT 1, 1-14,
ARNOULD HEIGHTS SUBDIVISION, LOT NO. 1
STREET ADDRESS: ARNOULD BLVD., 70506
LOCATED IN THE CITY OF LAFAYETTE
LAFAYETTE PARISH, LOUISIANA

NOTES:
1- Property should be Adjoined For Elements
2- Property is Properly Zoned BG
3- Elevation Shown is ASSUMED ELEVATION
4- Total Area of Property - 4.307 ACRES

PREPARED BY:
A. E. MONTAGNET
REGISTERED PROFESSIONAL SURVEYOR
136 CLARA VON DRIVE
LAFAYETTE, LOUISIANA 70503
Phone: (337)981-2133 Fax: (337)981-3282
DATE: MAY 20, 1994 SCALE: 1"=30'

GRAPHIC SCALE
1 inch = 30' ft

NO.	DATE	DESCRIPTION	BY
6	04/02/02	ADDED DIMS & UPDATED CO. A.E.M.	
5	06/23/94	CHANGED NAME IN TITLE BLOCK A.E.M.	
4	06/23/94	REVISED BUILDING DIMENSIONS A.E.M.	
3	06/23/94	ADDED DIMS TO LOT 1, 1-14, PARTITION OF LOT 1, 1-14, ARNOULD HEIGHTS SUBDIVISION, LOT NO. 1	
2	02/22/94	ADDED DIMS TO LOT 1, 1-14, PARTITION OF LOT 1, 1-14, ARNOULD HEIGHTS SUBDIVISION, LOT NO. 1	
1	06/23/94	PROV. LINES & LOTS FOR RELOC. P.A.D.	

IDENTIFICATION OF THE PROPERTY

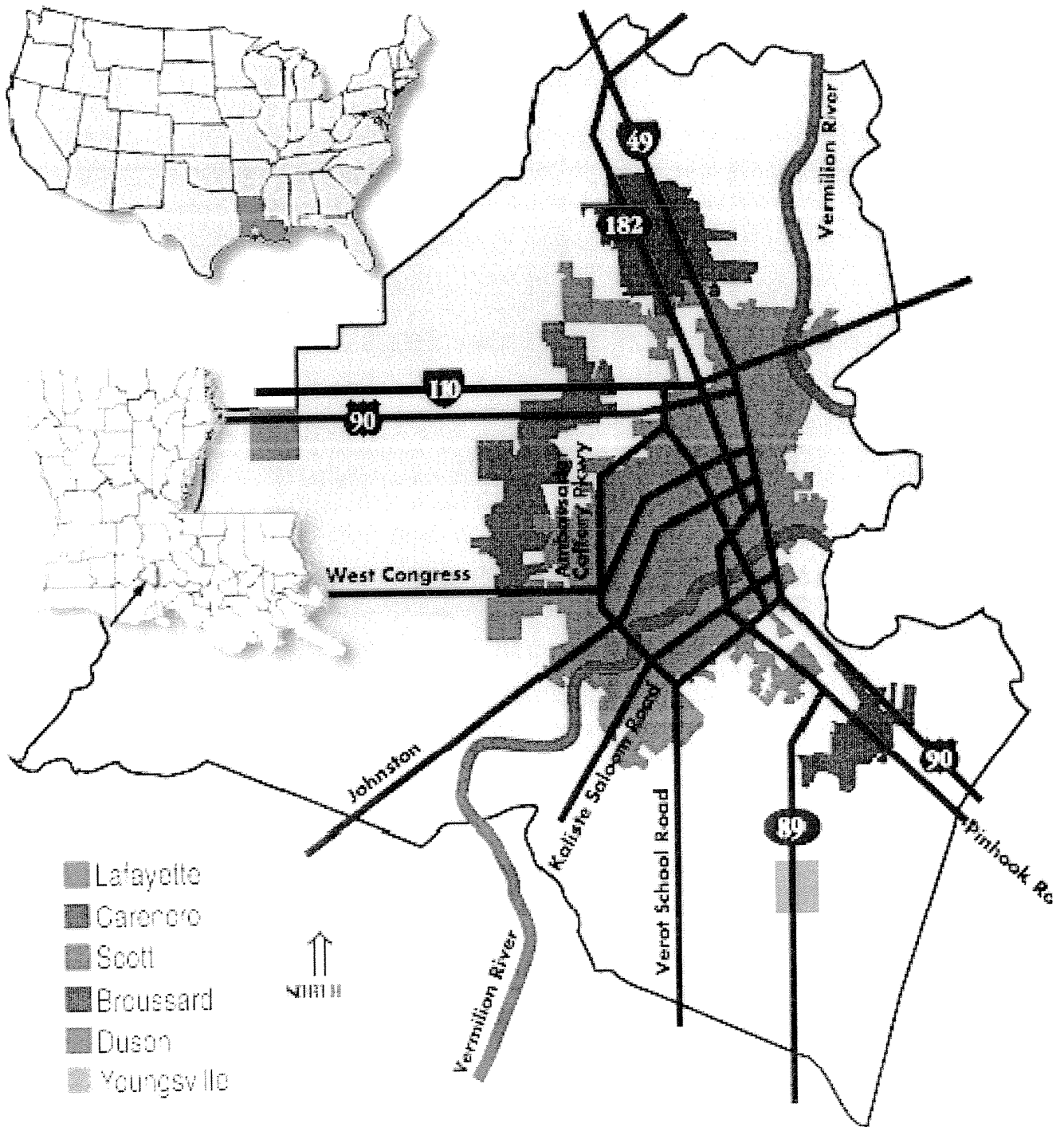
The subject property is located at 123 Arnould Boulevard, Lafayette, Lafayette Parish, Louisiana. The subject property can be described as a neighborhood retail center situated on a $\pm 210,907$ square foot site. A copy of the vicinity/site plan is located on the previous page foldout.

The legal description is as follows:

That certain parcel of land with all improvements known as Lots 1-3, 1-14. Partition of Lots 1 & 2, Block 1 Lot 7, Block M Arnould Heights Subdivision, Ext. No. 1 as described on a plat of survey by Montagnet and Domingue, Professional Land Surveyors dated May 20, 1994

The description and vicinity/site plan are furnished for identification purposes only, and are not intended to represent a legal opinion of the property description.

MAP OF LAFAYETTE AREA (Relative to the United States)



LAFAYETTE AREA ANALYSIS

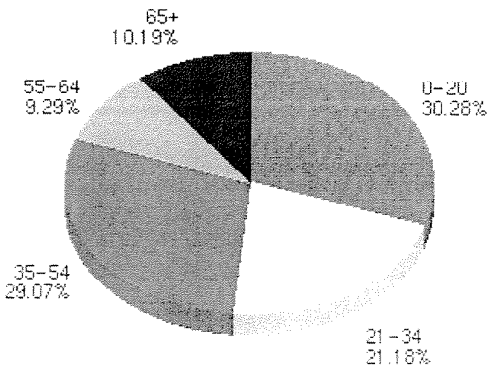
The following discussion presents a factual and historic summary of the Lafayette area. This material covers forces that had significant effects upon the Lafayette real estate market. More crucial are the effects these forces had in influencing market prices.

Lafayette Parish Population

Lafayette	110,501	110,257	94,421	81,961	68,908
Lafayette Parish (outside city limits)	60,154	54,718	54,038	56,876	35,271
Carencro	5,960	6,120	5,518	3,712	2,302
Broussard	6,529	5,874	3,213	2,923	1,707
Scott	8,023	7,870	4,912	2,239	1,134
Youngsville	4,881	3,992	1,195	1,105	1,002
Duson	1,820	1,672	1,465	1,253	1,119
Parish Total	197,868	190,503	164,762	150,017	111,643

Population Age Distribution

The age distribution chart provides insight into the percentages of the population represented by defined age groups. The pie chart below represents Lafayette Parish only.



Source: 2006 Claritas Demographic Report

2006 Est. Population by Single Race Classification	197,868	
White Alone	141,535	71.53
Black or African American Alone	49,741	25.14
American Indian and Alaska Native Alone	639	0.32
Asian Alone	2,497	1.26
Native Hawaiian and Other Pacific Islander Alone	65	0.03
Some Other Race Alone	1,206	0.61
Two or More Races	2,185	1.10
 2006 Est. Population Hispanic or Latino by Origin*	 197,868	
Not Hispanic or Latino	193,629	97.86
Hispanic or Latino:	4,239	2.14
Mexican	1,722	40.62
Puerto Rican	294	6.94
Cuban	279	6.58
All Other Hispanic or Latino	1,944	45.86
 2006 Est. Population by Sex	 197,868	
Male	96,683	48.86
Female	101,185	51.14
Male/Female Ratio	0.96	
 2006 Est. Population by Age	 197,868	
Age 0 - 4	14,204	7.18
Age 5 - 9	13,744	6.95
Age 10 - 14	13,943	7.05
Age 15 - 17	8,692	4.39
Age 18 - 20	9,428	4.76
Age 21 - 24	12,394	6.26
Age 25 - 34	29,455	14.89
Age 35 - 44	28,395	14.35
Age 45 - 49	15,604	7.89
Age 50 - 54	13,547	6.85
Age 55 - 59	10,603	5.36
Age 60 - 64	7,693	3.89
Age 65 - 74	11,084	5.60
Age 75 - 84	6,926	3.50
Age 85 and over	2,152	1.09
 Age 16 and over	153,059	77.35
Age 18 and over	147,285	74.44
Age 21 and over	137,857	69.67
Age 65 and over	20,162	10.19
 2006 Est. Median Age	 34.01	
2006 Est. Average Age	35.40	

Description	Total CTY	%
2006 Est. Population Age 15+ by Marital Status*	155,977	
Total, Never Married	44,844	28.75
Married, Spouse present	78,526	50.34
Married, Spouse absent	7,479	4.79
Widowed	8,590	5.51
Divorced	16,538	10.60
Males, Never Married	23,293	14.93
Previously Married	9,864	6.32
Females, Never Married	21,549	13.82
Previously Married	18,078	11.59
2006 Est. Pop. Age 25+ by Educational Attainment*	125,463	
Less than 9th grade	10,143	8.09
Some High School, no diploma	14,867	11.85
High School Graduate (or GED)	36,496	29.09
Some College, no degree	27,193	21.67
Associate Degree	4,699	3.75
Bachelor's Degree	22,401	17.85
Master's Degree	6,141	4.89
Professional School Degree	2,312	1.80
Doctorate Degree	1,009	0.80
2006 Est. Households by Household Income	76,322	
Income Less than \$15,000	12,848	16.83
Income \$15,000 - \$24,999	9,340	12.24
Income \$25,000 - \$34,999	8,984	11.77
Income \$35,000 - \$49,999	11,778	15.43
Income \$50,000 - \$74,999	15,991	18.33
Income \$75,000 - \$99,999	7,994	10.47
Income \$100,000 - \$149,999	7,437	9.77
Income \$150,000 - \$249,999	2,677	3.51
Income \$250,000 - \$499,999	807	1.06
Income \$500,000 and more	449	0.59
2006 Est. Average Household Income	\$58,927	
2006 Est. Median Household Income	\$45,903	
2006 Est. Per Capita Income	\$25,462	
2006 Est. Civ. Employed Pop 16+ by Occupation*	94,541	
Management, Business, and Financial Operations	11,612	12.28
Professional and Related Occupations	21,465	22.70
Service	15,473	14.25
Sales and Office	27,197	28.77
Farming, Fishing, and Forestry	267	0.22
Construction, Extraction and Maintenance	10,038	10.62
Production, Transportation and Material Moving	10,847	11.16

2006 Est. All Owner-Occupied Housing Values	51.026	
Value Less than \$20,000	3.000	5.88
Value \$20,000 - \$39,999	3.192	6.81
Value \$40,000 - \$59,999	4.160	8.15
Value \$60,000 - \$79,999	4.046	7.93
Value \$80,000 - \$99,999	5.206	10.20
Value \$100,000 - \$149,999	13.059	25.59
Value \$150,000 - \$199,999	8.228	16.13
Value \$200,000 - \$299,999	5.928	11.62
Value \$300,000 - \$399,999	2.016	3.95
Value \$400,000 - \$499,999	.769	1.51
Value \$500,000 - \$749,999	.694	1.36
Value \$750,000 - \$999,999	.184	0.36
Value \$1,000,000 or more	.244	0.48

Area	Composite Index	Grocery Items	Housing	Utilities	Transportation	Health Care	Misc. Goods and Services
Lafayette	98.9	90.4	105.7	86.9	100.4	99.9	99.4
Atlanta	98.2	97.2	94.9	97.5	105.3	108.8	98.0
Houston	90.2	81.5	74.1	109.4	99.8	105.3	96.4
Dallas	94.2	96.5	77.7	109.8	103.9	102.2	98.5
Hattiesburg	93.4	99.3	90.2	84.8	96.3	95.6	95.2
Baton Rouge	93.1	94.8	86.6	105.6	91.7	97.4	94.0

3rd Quarter 2006

How do you use the ACCRA Cost of Living Index?

Assume that City A has a composite index of 98.3 and City B has a composite index of 128.5. If you live in City A and are contemplating a job offer in city B, how much of an increase in your after-taxes income is needed to maintain your present lifestyle?

$100 * [(City\ B - City\ A) / City\ A] = 100 * [9128.5 - 98.3] / 98.3 = 100 * (.3072) = 30.72\%$, or about a 31% increase

Conversely, if you are considering a move from City B to City A, how much of a cut in after-taxes income can you sustain without reducing your present lifestyle?

$100 * [(City\ A - City\ B) / City\ B] = 100 * [(98.3 - 128.5) / 128.5] = 100 * (-.2350) = -23.5\%$, or about a 24% reduction

ACCRA is fully cognizant that state and local taxes are an integral part of the cost of living, and that tax burdens vary widely not only among states and metropolitan areas, but even within metropolitan areas. Due to the multiplicity of state and local taxes, taxing jurisdictions, and assessment procedures, it is not feasible to calculate local tax burdens reliably.

Total Retail Sales

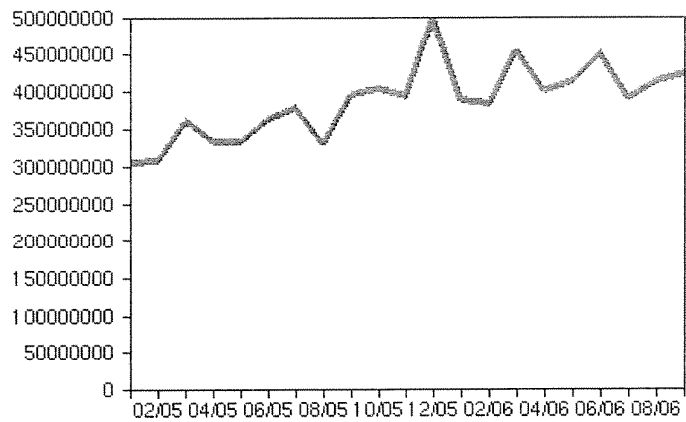
This statistic indicates the total dollar amount spent by consumers on retail goods and services in Lafayette Parish. In 2005, consumers spent over \$4.4 billion in Lafayette Parish on retail goods (Yet another retail sales record for the Parish!).

[Export dataset](#)

Year	Taxable Sales (\$)
2005	4394529632
Source: Lafayette Parish School Board, Sales Tax Division	

[Export dataset](#)

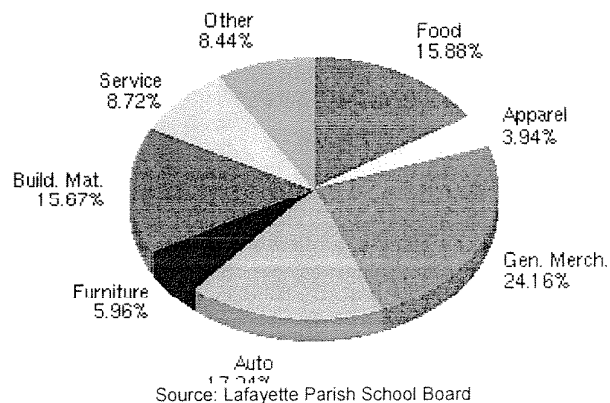
Month, Year	Total Retail Sales (\$)
Jan, 2005	304604903
Feb, 2005	307314200
Mar, 2005	360816938
Apr, 2005	332942896
May, 2005	331653196
Jun, 2005	361733933
Jul, 2005	377106139
Aug, 2005	330420745
Sep, 2005	393919689
Oct, 2005	403269714
Nov, 2005	391407455
Dec, 2005	499339824
Jan, 2006	387515345
Feb, 2006	383544600
Mar, 2006	456188496
Apr, 2006	401069638
May, 2006	413513795
Jun, 2006	450047750
Jul, 2006	390682717
Aug, 2006	412924111
Sep, 2006	421569383



Source: Bureau of Economic Analysis, Retail Sales, Seasonally Adjusted Annual Rate, U.S. Department of Commerce, Bureau of Economic Analysis, Washington, D.C.

Retail Sales Distribution

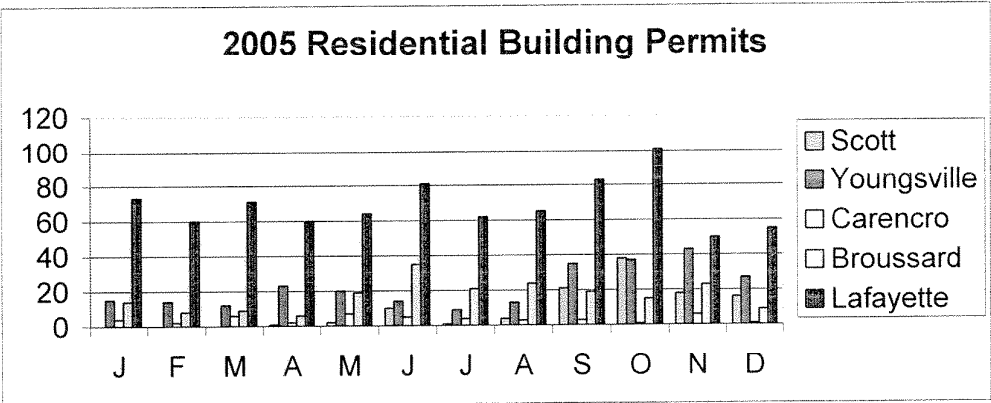
Retail Sales Distribution statistic categorizes the retail industries and reports the percentage contribution of each. For instance, food sales represent 15.88% of the retail market. This information is representative of September 2006 retail sales.



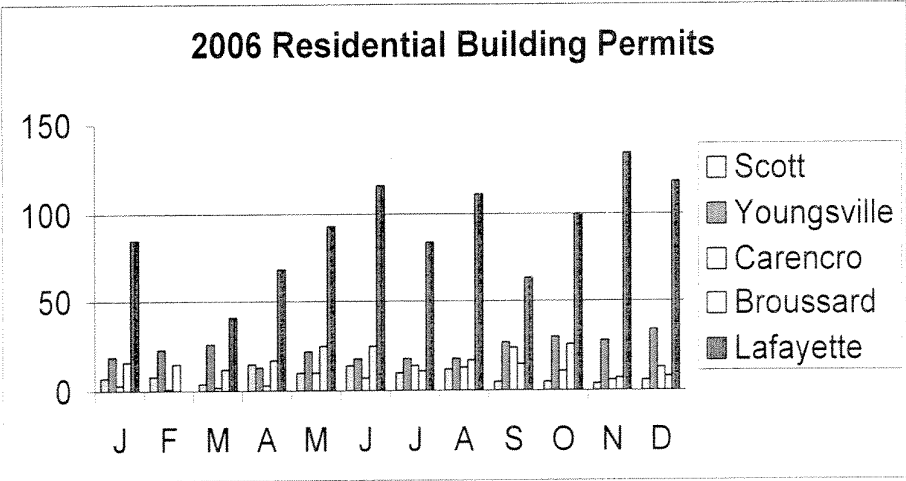
Building Permit Data

The following pages contain charts that document the level of building permits that have been granted in the recent past. There are two sets of permits: commercial and residential. The number of permits is also shown for the previous year as well as the current year to date. Each chart shows the number of permits for the various municipalities. The section that shows Lafayette also contains the permits for the unincorporated areas of the parish. We believe that the level of permits is a good and timely indicator of the confidence that investors and contractors have in the future of real estate in Lafayette Parish.

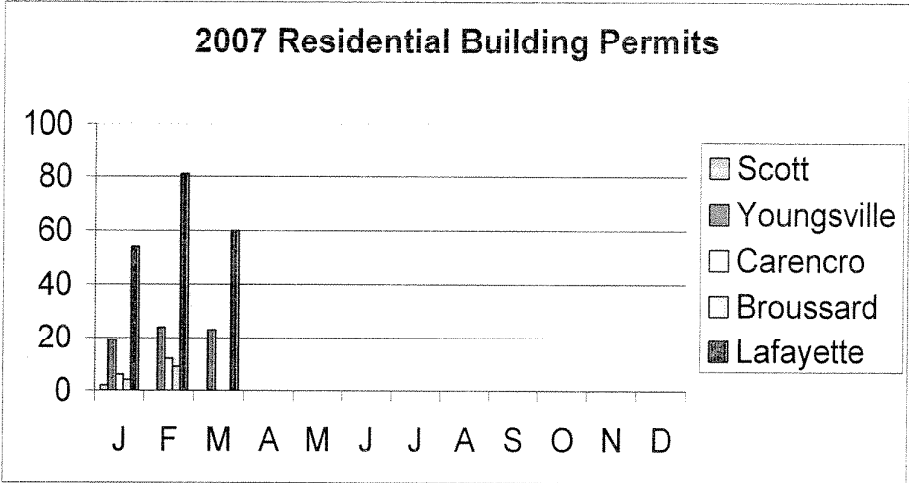
	J	F	M	A	M	J	J	A	S	O	N	D	
Scott	0	0	0	1	2	10	1	4	21	38	18	16	111
Youngsville	15	14	12	23	20	14	9	13	35	37	43	27	262
Carencro	4	2	6	2	7	5	4	3	3	1	6	1	44
Broussard	14	8	9	6	19	35	21	24	19	15	23	9	202
Lafayette	73	60	71	60	64	81	62	65	83	101	50	55	825
Total	106	84	98	92	112	145	97	109	161	192	140	108	1444



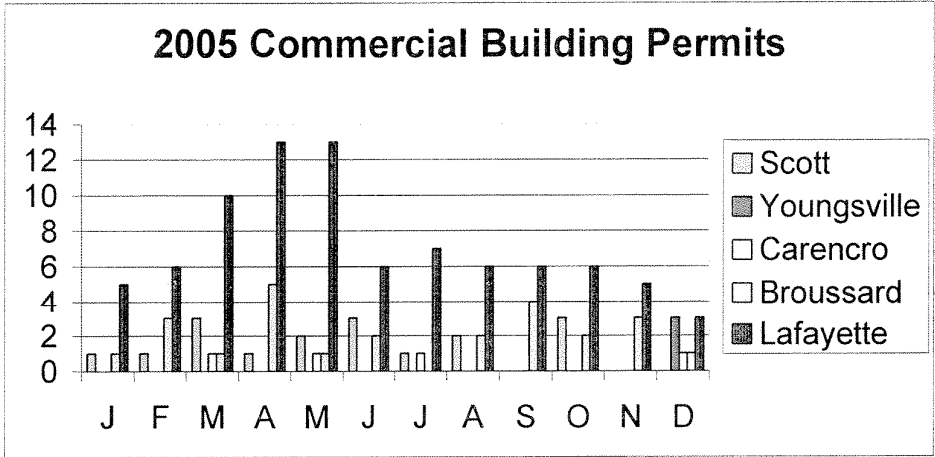
	J	F	M	A	M	J	J	A	S	O	N	D	
Scott	7	8	4	15	10	14	10	12	5	5	4	6	100
Youngsville	19	23	26	13	22	18	18	18	27	30	28	34	276
Carencro	3	1	2	3	10	7	14	13	24	11	6	13	107
Broussard	16	15	12	17	25	25	11	17	15	26	7	8	194
Lafayette	85		41	69	93	116	84	111	63	100	134	118	1014
Total	130	47	85	117	160	180	137	171	134	172	179	179	1691



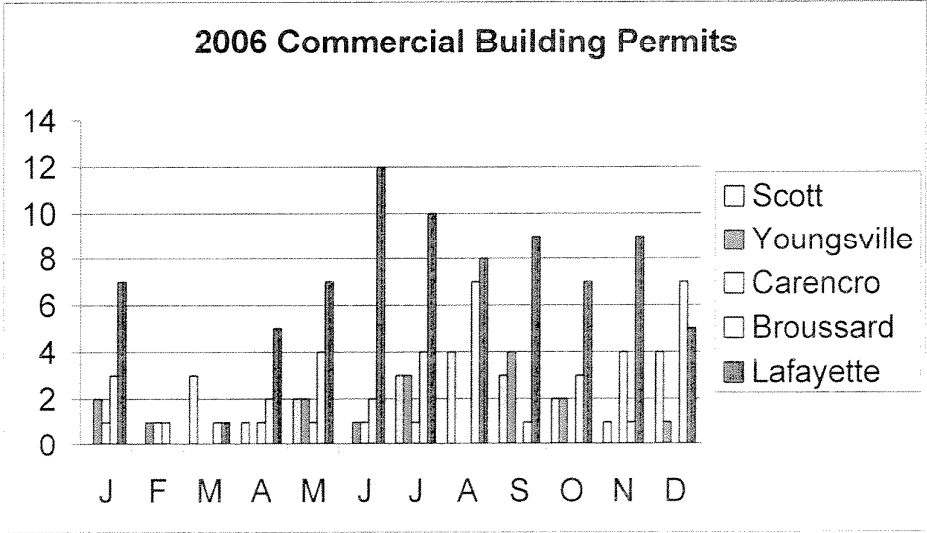
	J	F	M	A	M	J	J	A	S	O	N	D	
Scott	2	0											
Youngsville	19	24	23										
Carencro	6	12											
Broussard	4	9											
Lafayette	54	81	60										
Total													



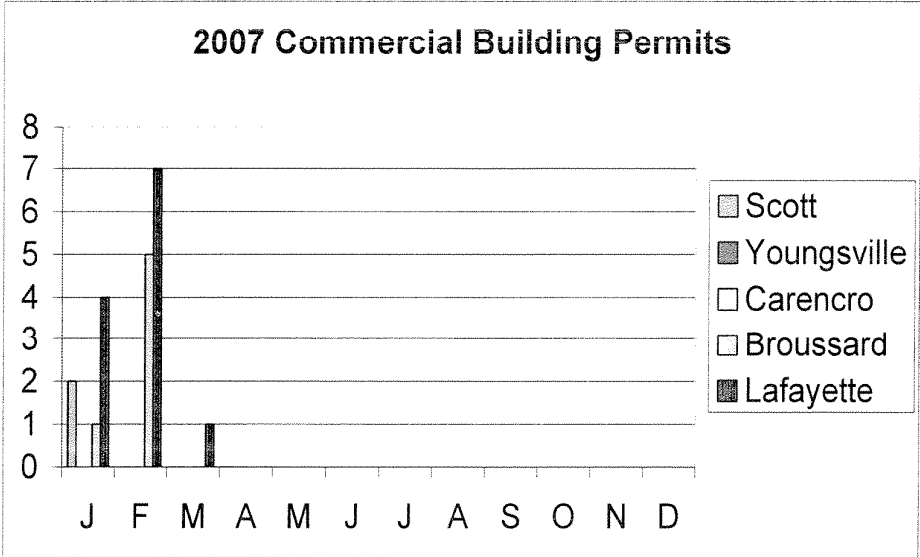
	J	F	M	A	M	J	J	A	S	O	N	D	
Scott	1	1	3	1	2	3	1	2	0	3	0	0	17
Youngsville	0	0	0	0	0	0	0	0	0	0	0	3	3
Carencro	0	0	1	0	1	0	1	0	0	0	0	1	4
Broussard	1	3	1	5	1	2	0	2	4	2	3	1	25
Lafayette	5	6	10	13	13	6	7	6	6	6	5	3	86
Total	7	10	15	19	17	11	9	10	10	11	8	8	135



	J	F	M	A	M	J	J	A	S	O	N	D	
Scott	0	0	3	1	2	0	3	4	3	2	1	4	23
Youngsville	2	1	0	0	2	1	3	0	4	2	0	1	16
Carencro	1	1	0	1	1	1	1	0	0	0	4	0	10
Broussard	3	1	1	2	4	2	4	7	1	3	1	7	36
Lafayette	7	0	1	5	7	12	10	8	9	7	9	5	80
Total	13	3	5	9	16	16	21	19	17	14	15	17	165



	J	F	M	A	M	J	J	A	S	O	N	D	
Scott	2	0											
Youngsville	0	0											
Carencro	0	0											
Broussard	1	5											
Lafayette	4	7	1										
Total													



Summary of Area Analysis

The Lafayette area has experienced tremendous growth over the past several years. The growing economy has spurred growth in the residential and commercial real estate market. A recent phenomenon has been the influx of evacuees who have been displaced by Hurricane Katrina. It has caused a huge increase in the demand for real estate at all levels. The strength and duration of this upsurge in the market has yet to be fully determined at this time. A recent phenomenon that we are observing in the current market is the escalation of building costs. The reasons are several; the surge in use of G.O. Zone tax breaks has caused an increase in building activity which in turn causes an increase in demand for labor and materials. Again, the length of this phenomenon is not predictable at this time.

NEIGHBORHOOD ANALYSIS

The area of influence surrounding a property is termed a “neighborhood”. A neighborhood is defined in The Appraisal of Real Estate, 11th Edition, as **“a group of complementary land uses”**. More specific to commercial or industrial properties is a “district”, which is defined as **“a type of neighborhood that is characterized by homogeneous land use”**.

Location and Boundaries

The subject is located on Johnston Street, in the west-central portion of the City of Lafayette, Louisiana. The subject property is part of a large surrounding neighborhood located along Johnston Street, from the University of Louisiana campus westward to just west of the Mall of Acadiana. The characteristics of this larger neighborhood are discussed further as follows.

Major Traffic Arteries

Johnston Street is the primary east-west thoroughfare in the area. It is a 5-lane concrete paved street with subsurface drainage and utilities, and concrete curb and gutters. Several major streets intersect it. The most noteworthy of these are South College in the east, Camellia Boulevard/Guilbeau Road in the center, and Ambassador Caffery Parkway in the west. Numerous cross streets intersect and provide access to the neighborhood.

Johnston Street is a major 5-lane thoroughfare with turning lanes. It extends diagonally through the city and is an important inner city thruway providing valuable access to and through the western and central sections of the city. The southwestern section of Johnston Street links Lafayette and Vermillion Parishes, providing a direct access to the Vermillion Parish Communities of Maurice and Abbeville. Due to its accessibility and highly commercialized nature, Johnston Street experiences heavy commercial traffic flow.

In summary, the neighborhood is well located with respect to local and regional access via the major traffic arteries noted above. The neighborhood is also well supported by a network of interlinking neighborhood streets that provide good access to and from the interior areas of the neighborhood.

Topography

The terrain of the area is relatively level. Some wooded areas are prevalent, particularly along undeveloped strips or property lines. The quality of drainage varies. Most areas in the neighborhood are relatively high and are situated in Zone X, areas of minimal flooding. Those areas situated near or adjacent to large drainage routes are typically designated as flood hazard areas. Attention is directed to the Flood Map included in the Addenda section of the report for a more detailed illustration of the flood characteristics of the area.

Community Facilities and Services

Utilities in the neighborhood include municipal electricity, water, and sewerage. Gas and telephone is also available. Other municipal services include police and fire protection. Schools, churches, medical and recreational facilities are available throughout the city and parish.

Transportation Systems

The City of Lafayette Transportation (COLT) provides public transportation along most major thoroughfares in the subject neighborhood.

Zoning

The neighborhood is situated within the corporate limits of Lafayette, and is therefore subject to city zoning ordinances. The majority of the areas along major streets in the vicinity of the subject are zoned for commercial or residential use.

History and Current Land Uses

The west-central portion of the city has historically been a strong and consistent residential and commercial growth corridor due to superb access to employment centers, the quality of the schools, proximity to Lafayette's largest regional shopping mall, etc. Other contributing factors are the numerous neighborhood retail centers, stand alone retail businesses and restaurants, and the regional retail center (the Mall of Acadiana). Most areas between these commercial developments have filled in with professional office and multi-family development.

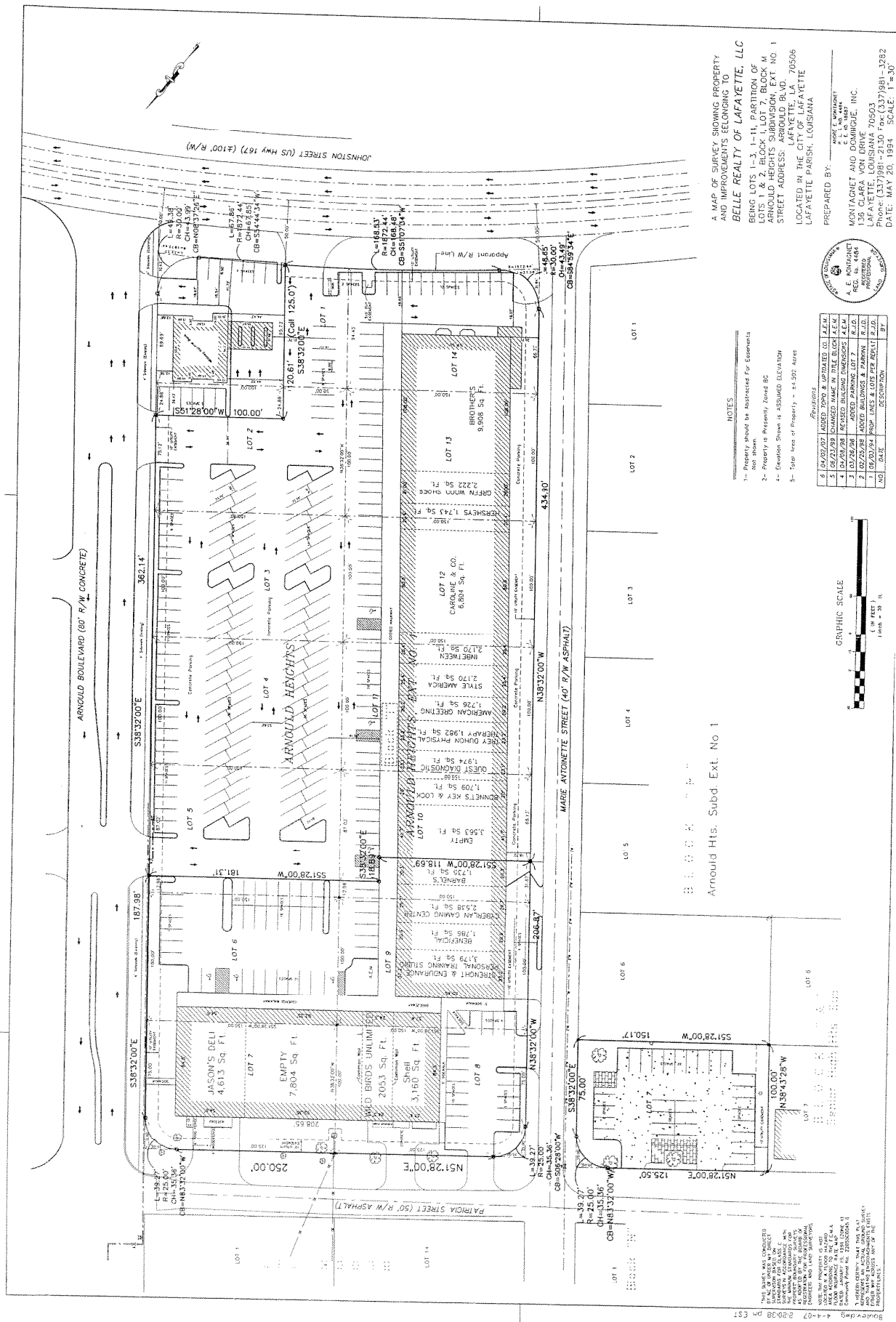
Major Employment Centers

Other employment centers, which influence the area, include the City and Parish Governments of Lafayette, the University of Louisiana at Lafayette, and the Lafayette Central Business District. The local oil industry also provides major employment to the area through various oil service companies, which have both office head quarters and field divisions, located throughout the city and parish. In the past decade, the health care field has shown tremendous growth. Several large medical complexes have increased access to high quality medical care, but have also provided a myriad of employment opportunities in the health care field. Tourism is another industry, which provides employment to the area through attractions, festivals and events.

Economic Trends and Summary

The Johnston Street area continues to show the growth that has been underway throughout its history. It continues to be a popular area with business interests and with consumers. The process of developing the remaining vacant areas in the neighborhood shows no sign of slowing down. The two recent devastating hurricanes that struck the area have drastically affected the real estate market, increasing the demand for both purchase and rental of residential property. As a result of these two hurricanes, a program has been implemented called the Gulf Opportunity Zone (GO Zone). Its purpose has been to assist and stimulate business activity. Specifically, the program allows accelerated depreciation of newly constructed commercial property in the first year of ownership. This has lead to an increased level of construction activity along with an accompanying rise in the price of commercial property. The long term affects of the combination these two factors are still speculative at this point.

In summary, the neighborhood is showing strong growth. It is apparent that developers are taking advantage of the traffic exposure to the extent that land is available.



A MAP OF SURVEY SHOWING PROPERTY
AND IMPROVEMENTS BELONGING TO
BELLE REALTY OF LAFAYETTE, LLC
BEING LOTS 1-3, 1-11, PARTITION OF
LOTS 1 & 2, BLOCK 1, LOT 7, BLOCK M
ARNOULD HEIGHTS SUBDIVISION, EXT. NO. 1
STREET ADDRESS: ARNOULD BLVD.
LAFAYETTE, LA 70506
LOCATED IN THE CITY OF LAFAYETTE
LAFAYETTE PARISH, LOUISIANA

PREPARED BY:

ANDRÉ E. MONTAGNET
P. L. L. NO. 4484
C. E. 40, 18697
MONTAGNET AND DOMINGUE, INC.

36 CLARA VON DRIVE
LAFALETTE, LOUISIANA 70503
Phone: (337)981-2130 Fax: (337)981-3282
DATE: MAY 20, 1994 SCALE: 1"=30'

NOTES

- Property should be Abstracted For Easements Not shown.
- Property is Presently Zoned BC
- Elevation Shown is ASSUMED ELEVATION
- Total Area of Property = ±4,502 Acres

NO.	DATE	DESCRIPTION	BY
1	06/03/94	PROP. LINES & LOTS PER REPLIT	R.J.D.
2	02/25/98	ADDED BUILDINGS & PARKING	R.J.D.
3	03/26/98	ADDED PARKING LOT 7	R.J.D.
4	04/08/98	REVISED BUILDING DIMENSIONS	A.E.M.
5	06/23/99	CHANGED NAME IN TITLE BLOCK	A.E.M.
6	04/02/07	ADDED TOPO & UPDATED CO.	A.E.M.

3503154402

PROPERTY ANALYSIS

SITE ANALYSIS

The site plan on the previous page illustrates the layout of the existing improvements on the site. The site is a nearly rectangular shaped parcel containing $\pm 210,907$ square feet. The property has excellent frontage on Arnould Boulevard. The site is very accessible from Johnston Street (in addition, a traffic light allows easier access onto Johnston than would normally be possible).

The property is level and is not located within a flood hazard area. The site appears to drain well into drainage along the street frontage.

Utilities available to the site include municipal water, electricity, natural gas, sanitary sewer and telephone. Police and fire protection are available, as well as garbage collection. These services are reportedly good.

Accessibility and visibility are both considered to be excellent. The property is well accessible and visible from Johnston Street.

Soil surface and subsurface types are unknown as no detailed engineering analysis of the soil was available. Although visual inspections of the subject improvements reveal no signs of foundation problems, further detail on this subject by proper professionals is strongly recommended.

DESCRIPTION OF IMPROVEMENTS

The following description of the existing improvements is based on the appraisers' inspection of the property and the complete floor and site plans provided by the client. All building areas cited later herein were obtained by interpreting dimensions indicated on the drawings and physical measurements to the best of our ability.

The neighborhood retail center is be a single story class 'D' of average to good quality containing a gross building area (GBA) of $\pm 62,752$ square feet and a current net rentable area (NRA) of $\pm 51,921$ square feet with typical finishes commensurate to similar average to good quality buildings of this type. The existing building has an effective age of 20 years with a remaining effective life of 20 years.

ANALYSIS OF ENVIRONMENTAL CONDITIONS

It is noted that environmental conditions on appraised properties have been focused upon lately on both a national and local level. A history of the nature of previous uses of the subject was not conducted, and therefore no observations can be made on this basis. Although visual inspection of the subject indicated no problems of hazardous materials or conditions on the property, nor were any called to the attention of the appraisers, verification or warranty of such was not within the scope of this assignment since the appraisers are not qualified as environmental specialists.

Our analysis and valuation is based on the assumption that no environmentally hazardous materials or conditions exist on or in the property, or in such proximity thereto that would detrimentally influence the utility or value of the subject. If desired, professional engineers and/or environmental specialists could obtain certification of the environmental status of the subject. If any environmentally hazardous materials or conditions were to exist, a re-valuation would be required, and the subject value estimate may differ from that reported herein.

PROPERTY HISTORY

A legal abstract or title opinion regarding the history and ownership of the subject was not within the scope of this appraisal assignment, and none was attempted. However, according to the records of the Lafayette Parish Clerk of Court's Office, the current owner of record is Belle Realty of Lafayette, LLC. Belle Realty of Lafayette, LLC obtained the property through a division of family property on December 8, 1998. There have been no other transactions within the last three years concerning the subject property.

PROPERTY ASSESSMENT AND TAXES

Louisiana has an ad valorem tax structure whereby the state has the right to levy and collect a tax varying with the assessed value of the property. The tax amount is a compulsory contribution exacted from all owners of real estate for the general support of the state and for the maintenance of public services. Also included are special assessments that may be levied against certain real estate benefiting from public improvements, usually to offset directly the cost of such improvements.

The Lafayette Parish Assessor is responsible for determining the amount of assessment relative to the subject property. Assessed values are subsequently checked and approved or rejected by the State Tax Commission and become final after a period of protest during which time the records are open for public inspection. Historically, property taxes in Louisiana have been low in comparison with other states.

Ad valorem taxes relative to the subject property include Lafayette Parish and City taxes. Based on the conversations with personnel in the Lafayette Parish Assessor’s office, the 2006 ad valorem taxes relative to the subject tract are paid. 2007 real property tax information is as follows:

<u>Assessment Number:</u>	26788
<u>Owner of Record:</u>	Belle Realty of Lafayette, LLC
<u>Assessed Value:</u>	\$292,860
<u>Taxes:</u>	
Parish:	\$ 24,770.10
City:	\$ <u>5,215.84</u>
Total:	\$ 29,985.94

Tax information was obtained from the Lafayette Parish tax assessor’s office.